



Cyber Laws and Policies in Nepal

1. Background

The use of Information and Communication Technology (ICT) presents exceptional opportunities for the citizen, businesses and government. ICT has the potential to enhance the efficiency, provide efficient and reliable services in various development areas of the countries such as education, health, transportation, public service delivery, business, commerce, banks, agriculture, electricity, government, etc. At the same time, it should be noted that there is a high probability of security threats in the cyber world[1]. Cybercrimes, cyberattacks are increasing and will become more and more serious as information and communication technologies develop and spread[2]. The advancements in ICTs have provided criminals with novel opportunities to carry out attacks and cause catastrophic harm to individuals, business companies, and governments as never before from places unheard of traditional policies and laws were developed without taking cyberspace into account. To overcome these potential cyber risks in cyberspace, new cybersecurity laws and policies are needed. Since Cyber-crime knows no border, where criminals residing from one geographical location can carry out their attacks and cause disastrous harms to many peoples, systems, networks, and organizations in any part of the world regardless of their geographic location, there is also necessity to have international collaboration and harmonization of cyber law enforcement entities in the different countries[3].

2. Introduction

Black's Law Dictionary says "Law is a body of rules of action or conduct prescribed by controlling authority, and having binding legal force. That which must be obeyed and followed by citizen subject to sanctions or legal consequence is a law." Law is the medium by which the government controls human behavior, and maintain peace, order and harmony in the society.



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The illegal activities done through the use of Information and Communication Technologies are called cyber-crime. Some of the examples of cyber-crime are Cyber Bullying, Piracy, Hacking, Plagiarism, pornography, salami slicing, phishing, online harassment and stalking, etc. The legal system that deals with internet, cyberspace and their respective legal issues is called cyber law. Cyber Law is often called Law of the Internet. The purpose of cyber law is to reduce cybercrime. As the Internet is a relatively recent development in human history, Cyber Law is often seen as a developing field in terms of international law. Cyber law deals with such crimes executed in the physical world but enabled in cyber space. Cyber Law covers a fairly broad area, encompassing several subtopics including Intellectual property right, data privacy, censorship, computer network, Internet, Ecommerce, E-Governance, etc.[4].

3. International Conventions and Model Laws on Cybercrime, Copyright and E-Commerce

As cyberspace develops rapidly, several regional and international agreements and model laws have been drafted and implemented. These international instruments not only provide strict regulatory and punitive measures to curb cybercrimes and unethical behaviors, but also promote the healthy growth of the sector and



promote intergovernmental partnership in tracing and dealing with any type of cyber threats. These safeguards enable societies to reap the benefits of technology in a responsible manner. A narrative of such international conventions and model laws is provided as follows[3]:

a) *European Convention on Cybercrime, 2001:*

It's called the Budapest Convention on Cybercrime. The convention is the first international treaty on crime over the Internet and other computer networks, dealing primarily with piracy, computer fraud, child pornography, hate crimes, and security violations. computer security on the network. It also includes a range of powers and procedures, such as computer network searches and legal interpretation.

b) *World International Property Organization Copyright Treaty (WIPO Copyright Treaty or WCT), 1996:*

This is a special agreement issued by consensus of more than 100 WIPO member countries. WCT was created in response to the development of technology and digital communication, especially the distribution of digitally protected works on the Internet. It is also known as the Internet Treaty. The WCT constitutes a special agreement within the meaning of Article 20 of the Berne Convention for the Protection of Literary and Artistic Works.

c) *UNCITRAL Model Law on Electronic Commerce, 1996:*

The UNCITRAL Model Law Electronic Commerce was adopted by the United Nations Commission on International Trade Law, which aims to remove unnecessary obstacles to international trade caused by shortcomings in international trade and differences in the legislation affecting trade. The model law on Electronic Commerce (MLEC) aims to enable and facilitate commerce conducted by electronics means by appointing national legislators and increasing legal predictability of e-commerce.

4. Cyber Laws and Policies in Nepal

Constitution of Nepal, Acts made by legislatures, Policies made by the Government of Nepal, Guidelines, Bylaws issued by various thematic bodies like Nepal Telecommunication Authority (NTA), Office of the Controller of the certification (OCC) under Ministry of Communication and Information Technology (MoCIT) have guided to develop legal provisions related to the regulation of cyber activity in Nepal[5]. Some of them are discussed as mentioned below.

a) *Constitution of Nepal, 2072 (2015):*

Article 19 as Right to Information, Article 27 as Right to Communication, Article 28 as Right to Privacy are the fundamental rights of the citizens guaranteed by the constitution which bears some relation to the cyber activity of the Nepalese citizen[6].

b) *Electronic Transactions Act (ETA), 2063 (2006):*

Electronic Transactions Act, 2063 (2006) is Nepal's first cyber law. Prior to this law, cybercrime was regulated by The National Criminal (Code) Act. This act legalized the communication and transaction system of electronic records in Nepal. It includes the provision relating to electronic records and digital signature, provision relating to the computer network and network services providers, provision relating to dispatch, receipt and acknowledgement of electronic records, provision relating to Controller and Certifying Authority, listed the offenses relating to computer (cyber-crimes) and its punishments, and Provision of Information Technology Tribunal and Information Technology Appellate Tribunal. Such Tribunals are meant to initiate the proceedings and adjudicate the cyber-crimes. The provisions of the ETA (2006) matched with the UNCITRAL Model Law Electronic Commerce (1996) (MLEC (1996))[7].

c) *Online Child Safety Guidelines, 2076*

This guideline is issued by NTA to minimize and mitigate abuse of child through ICT and to create safe



internet environment for children. It gives guidelines for Internet service providers (ISPs) and Mobile Network Operators (MNOs) to be followed such that the contents in the internet are suitable for age group of children. Guidelines number 26 assigns NTA to develop Online Child Abuse Complaints System[8].

d) *The Copyright Act, 2059 (2002)*

This act protects the copyright of ideas, including a computer program. It prohibits people from copying and modifying the original work of others, and using it for their own advantage or economic benefits. This act has provision relating to Infringement of protected right and punishment[9].

e) *Provision of Patent, Design, and Trade Mark Act, 1956 (2022)*

This act has made legal arrangements in respect to patents, designs and trade-marks for the convenience and economic benefit of the general public[10].

f) *The Individual Privacy Act, 2018*

This act is the first legislation in Nepal to safeguard the right to privacy of its people. It has provisioned to safeguard the privacy of body, family life, residence, property, and communication. One cannot transfer personal data of individual to anyone without the consent of the owner. If transferred, the Act prescribes a general punishment for violation of privacy as 3 years of imprisonment, or a fine of NPR 30,000, or both[11].

g) *Mobile Device Management System Bylaws, 2075 (2018):*

This Bylaw is issued by NTA to ensure national and consumer security, to identify the genuine mobile phones and make the fake and non-genuine phones unusable in Nepal, to enable tracking/blocking of mobile phones that are lost/stolen, to promote import and sale of genuine mobile phones and to eliminate grey market by implementing the Equipment Identity Register (EIR) system. These Bylaws are not only important for mobile device security and information security but also equally important for revenue collection in Nepal[12].

h) *Information Technology Bill, 2075 (2019)*

The current legal framework for cybercrime and electronic evidence in Nepal mainly deals with crimes against electronic and financial transactions through its Electronic Transactions Act, 2063 (2008) and Banking Offence and Punishment Act 2064 (2008). However, the Information Technology Bill, 2075 (IT Bill) is in the process of being passed to replace the ETA (2008) as the framework law related to cyberspace. Human rights activists, civil society groups, legal community and journalists have expressed their concerns that the bill will limit freedom of expression online, violate data privacy and increase surveillance on citizens which all violates the fundamental rights guaranteed by the Constitution of Nepal. Although it was registered as a bill in the House of Representatives on February 14, 2019, the Bill is yet to be finalized[13].

i) *Cyber Security Byelaw, 2077 (2020)*

In exercising the rights conferred under Section 62 of the Telecommunications Act, 2053 (1997), the Nepal Telecommunications Authority (NTA) has framed this Byelaw for the implementation of cyber security standards and best practices so as to protect ICT Infrastructure and Information Systems of Telecommunication Service Providers of Nepal from various malicious attacks and threats; and build trust and confidence of users towards using ICT technology and services. This bylaw has provided a check list for Information System (IS) audit. It is a mandatory cybersecurity regulation for Telecommunication Service Providers (TSPs) and Internet Service Providers (ISPs) to systematically implement security standards and best practices. Moreover, the regulations make it mandatory for service providers (TSPs and ISPs) to perform a security audit every 3 months and then the service providers must submit the security audit report to the Telecommunication Authority every six months. It also stipulates that mobile applications should only be launched by performing a vulnerability assessment[14].



j) National Security Policy, 2075 (2016)

This policy is issued by Ministry of Defense, Government of Nepal. Policy No. 1.7.10 mentions the abuse of science, technology and modern equipment as an element influencing national security. Similarly, Policy No. 1.9.2.4 mentions the abuse of modern technology in crimes as challenges and threats related to law and order[15].

k) National Information and Communication Technology Policy, 2015 (ICT Policy 2015)

This is the second series of IT policy 2000 that envisages Digital Nepal. Under this policy, Strategy 12.21 as Building Confidence and Security in the use of ICT's addresses issues related to cyber security and law. It has also included the establishment of the IT Tribunal system as also mentioned in the Electronic Transactions Act, 2063 (2006). It has also mentioned the establishment of a Computer Emergency Response Team (CERT) and a cyber-security cell in the ministry of communication and information technology. It has mentioned that the capacity building program will be conducted for law enforcement agencies and cyber security education programs for publics[16].

l) National Cybersecurity Policy, 2016

The Ministry of Information and Communications Technology (MoCIT) has drafted a new policy titled "National Cybersecurity Policy 2016" with the aim of governing and addressing global nature of changing dynamics and challenges of cyberspace. The policy is expected to develop the National Cyber Security Strategy Working Group (NCSWG) and the National CERT of Nepal (NepCERT), where the NCSWG will develop a specific set of guidelines on cybersecurity and NepCERT will be responsible for services related to Cybersecurity to the government, government institutions, law enforcement agencies, businesses and the people[17].

5. Institutional Mechanism in Nepal

No government, whether in developing or highly developed countries, can protect businesses and citizens

from all possible cyber threats on its own. There is a strong institutional mechanism in Nepal to regulate and manage the IT sector and ensure its development with minimal economic and social harm. Many organizations are purely government agencies; some are funded by the private sector while others operate on a public-private partnership model. An overview of these organizations is presented below;

a) Office of the Controller of Certifying Authority

The Office of Controller of Certifying Authority was established by the government of Nepal on December 28, 2007, under the Ministry of Science, Technology and Environment to establish the secure environment on Internet, E-mail and online transaction[18]. It is a Licensing Certifying Authorities (CAs) under the ETA, 2063. [7].

b) National Information Technology Center (NITC)

NITC was established in 2001 with the objective of developing and promoting the information technology sector of the Government of Nepal. It acts as a data bank of information and assist in computerization of records at governmental offices and in developing and expanding the contents. It acts as a focal point for implementation of government e-services. It is responsible for hosting government websites, E-procurement system, E-Gate pass system, etc.[19].

c) Cyber Bureau Nepal:

It is the part of the Nepali Police, located in Bhotahiti, Kathmandu. The regulations of the Cyber Bureau are under the Inspector General of Police as per the Rule No.196 of the Police Rules, 2017. The objective of the bureau is to (a) To investigate cyber-crime, (2) To coordinate and cooperate with the concerned bodies and experts for raising and promoting cyber security.(c) To investigate cyber-crime on sensitive infrastructure, (d) To prepare capable police manpower to deal with future cyber-crimes and attacks, (e) To



play a coordinating role in exchanging information between national and international organizations and security agencies on the dangers and challenges posed by cybercrime. It has now started receiving complaints through email, avoiding the need to visit the police office. Anyone can now file complaints on cybercrime by sending an email at cyberbureau@nepalpolice.gov.np.[20]

d) Internet Service Providers' Association of Nepal (ISPAN)

It is a non-profit organization committed to advocating and supporting a healthy internet industry in the country. It was created in 1998 with the mission to develop and promote the Internet for all. ISPAN works closely with NTA, Nepal Telecom (NT), MoIC and many other organizations to address and resolve various issues affecting the implementation of ISP projects. It looks for opportunities to encourage and promote the use of the Internet and IT services, such as e-commerce, e-governance, e-health care, and distance learning.[21].

e) Information Security Response Team Nepal (NPCERT):

It is established in 2016 with the team of Information Security experts united together to address the urgent need for the protection of national information and growing cyber security threat in Nepal. NPCERT has been playing active role as the Nation's flagship cyber defense, incident response, and operational integration center.[22]

f) Internet Society Nepal (ISOC, Nepal)

It is a non-profit, non-partisan organization registered under the Registration of Association Act, 1978 on 11th November, 2009. Regulating the concept of "safe internet for all", this association was founded when the need for standardization and safe browsing was thought to be of utmost importance and a group of experts came together to start a new association adapted to international standards and topics of the Internet Society (ISOC). It demonstrates user rights and raises awareness of ICT developments in and around its periphery.[23].

g) Cyber Security Research and Innovation (CSRI):

The Center for Cyber Security and Research Innovation (CSRI) was established as part of the cybersecurity domain Research Program. It is focused on delivering impactful industry-focused cybersecurity analysis findings and solving real-world cybersecurity problems with innovative solutions. Its mission is to help raise awareness of issues through business analytics that support strong cybersecurity practices. It will play an important role in raising wider cybersecurity awareness and uncovering key cybersecurity issues related to the legal, policy and regulatory implications of the risks and network security. It is also inclined to attract, inspire, mentor and develop the next generation of cybersecurity professionals.[24].

6. Conclusion

There is a high probability of security threats in the cyber world despite ICT having phenomenal prospects for the citizen, businesses and government. In Nepal, there are laws that legalize digital and cyber activities, but these laws and policies are not effective enough to deal with the emerging cyber threat environment due to the lengthy process of law making and lack of knowledge and expertise to legislators. Nepal's cyber related policies focus on improving cyber utility rather than cyber security. Cyber law needs frequent revisions to keep up with the changing requirements of the cyber world. More research is needed on the most effective and appropriate ways to educate people on how to protect themselves against cyber-attacks. There is also a need for comprehensive laws on e-commerce, social media, and cyber terrorism, among other areas of cyber space. A unit dedicated to cybercriminals is also an urgent need. The Parliament of Nepal must amend the IT Bill to bring it in line with international standards and Constitution of Nepal to ensure that the law is not used to forbid the peaceful exercise of the right to freedom of expression. Since Cyber-crime is borderless, international collaboration and harmonization of cyber law enforcement entities in the different countries is more significant.



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